Policy Economy Interest rates

RBA issues shock warning of a poorer Australia as it cuts rates



Michael Read
Economics correspondent

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The Reserve Bank of Australia has downgraded its long-term outlook for productivity growth and warned the economy is incapable of sustainably growing faster than 2 per cent per year, in a grim reality check just one week before Treasurer Jim Chalmers' Economic Reform Roundtable.

Announcing a widely anticipated decision to cut the cash rate to 3.6 per cent from 3.85 per cent on Tuesday, the RBA said it now believed productivity would grow by just 0.7 per cent per year over the medium term, down from its previous assumption of 1 per cent annual growth.



Reserve Bank governor Michele Bullock will deliver a brief presentation during next week's productivity summit outlining Australia's economic outlook. **Michaela Pollock**

The decision marked the first time since the

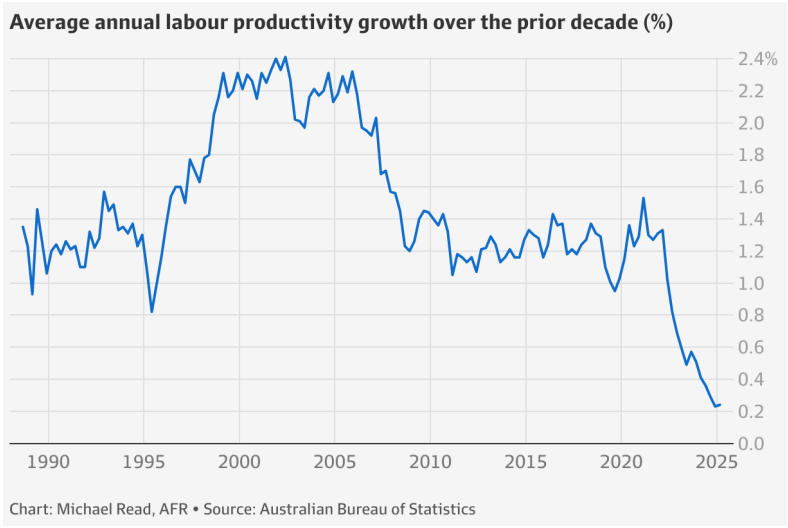
pandemic the central bank has downgraded its assumption for productivity growth, which feeds into its broader economic projections. The RBA warned weaker productivity growth meant the economy would be smaller and poorer [https://www.afr.com/link/follow-20180101-p5mk52] than would have otherwise been the case.

"Productivity growth is a key driver of real wages growth in the long run; lower labour productivity growth weighs on growth in per capita income and wages," the RBA said in its quarterly update to its economic forecasts.

"This will weigh on most types of activity in the economy. For example, households will consume less than otherwise because their incomes are growing at a slower rate, while lower growth in incomes will weigh on tax revenue and therefore public spending."

Weaker productivity growth means that wages can only grow by 3.2 per cent per year over the long run without fuelling inflation, according to the RBA. It also means businesses will invest less than they otherwise would have.

The RBA's warning shot comes just one week before Chalmers' three-day economic reform summit [https://www.afr.com/link/follow-20180101-p5ml1b], where the government will canvass ways to improve productivity in a closed-door meeting with 24 stakeholders including businesses and unions.



Reserve Bank governor Michele Bullock will deliver a brief presentation on the first day of the summit, outlining Australia's economic outlook.

Speaking after the RBA's decision, Chalmers said productivity was the most serious economic challenge facing the economy.

"That challenge has been long-standing. It is also global, as the Reserve Bank points out.

But it is substantial, and it is the government's primary focus – not just next week, at the roundtable, but indeed for the course of this parliamentary term. So we've got a big agenda," he said.

The RBA said productivity growth globally had slowed over recent decades, and it was updating its assessment to reflect reality, though it admitted even its new forecast may be too high. Productivity has barely grown in Australia since 2016.

"There is evidence to suggest that this reflects persistent factors, including declining business dynamism and competition, slower technological diffusion in the economy and lower growth in the amount of capital per worker," it said.

The RBA said the boom in hiring across

government-funded industries like health, education and the public service had also weighed on productivity growth recently.

The weaker outlook for productivity means the economy is only capable of sustaining a trend GDP growth rate of 2 per cent without hitting supply constraints and fuelling inflation, according to the central bank's forecasts.

It had previously assumed trend GDP growth – how quickly the economy can sustainably grow over the medium-term – was 2.3 per cent.

Declining productivity growth had already spilled over to weaker economic activity, the RBA said.

"Slower productivity growth has directly

weighed on growth in wages, incomes and so household spending.

"As such, it appears that wages, household incomes and spending have adjusted in response to the slower growth in the supply side of the economy."

Rate cut widely expected

The RBA's productivity downgrade will complicate any attempt by Chalmers to sell Tuesday's rate cut as a good news story.

The cut was widely anticipated [https://www.afr.com/link/follow-20180101-p5mlwm] by both economists and financial markets after June quarter CPI data showed underlying inflation continued to moderate.

In its post-meeting statement, the RBA board said it was still cautious about the outlook given the heightened level of uncertainty about both aggregate demand and potential supply.

"The board will be attentive to the data and the evolving assessment of risks to guide its decisions. In doing so, it will pay close attention to developments in the global economy and financial markets, trends in domestic demand, and the outlook for inflation and the labour market," the RBA board said.

Economists predict the RBA will lower interest rates another 25 basis points to 3.35 per cent by Christmas, but expect the pace of easing will slow after that.

Most economists think the so-called "neutral

rate" – the level where the RBA would set the cash rate to be neither stimulating nor slowing the economy – is somewhere around 3 per cent, though these estimates are highly uncertain.

The RBA monetary policy board shocked financial markets in July when it voted 6-3 to leave the cash rate on hold [https://www.afr.com/policy/economy/rba-leaves-cash-rate-at-3-85pc-shocks-market-20250708-p5mddb] at 3.85 per cent, despite expectations the nine-member committee was almost certain to lower interest rates by 25 basis points. The three dissenting board members voted for a rate cut.

Bullock said at the time she wanted to wait for June quarter inflation data before delivering further easing.

Those figures, which were released late last month, showed underlying inflation moderated to a 3.5-year low of 2.7 per cent [https://www.afr.com/policy/economy/lower-inflation-sets-up-rba-rate-cut-20250728-p5mig2] in June, setting up a near-certain interest rate cut on Tuesday.

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